Chapter 7 DEPRECIATION

GLPBA8

Learning Objectives

- To understand the meaning and definition of depreciation.
- To know the causes for depreciation.
- To understand the objectives and factors for providing depreciation.
- To understand different methods of calculating depreciation and auditor duties with regard to it.

POINTS TO RECALL

RECAP

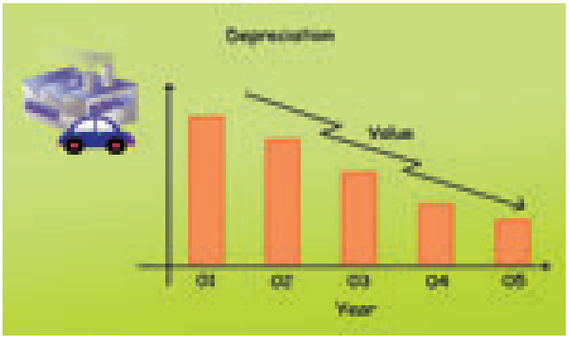
In the previous lesson we have studied verification of various liabilities such as share capital, reserve and surplus, long term loan and current liabilities like trade creditors, outstanding expenses and contingent liabilities.

7.1 Depreciation – Meaning

The word depreciation has been derived from a Latin word 'Depretium'. The words 'De' means decline and 'pretium' means 'price'. Thus, the word 'Depretium' stands for decline in the value or price of an asset. The gradual diminution, loss or shrinkage in the utility value of an asset due to wear and tear in use, effluxion of time or obsolescence is called as depreciation.

Depreciation accounting is a system which aims at distributing the cost or basic value of tangible capital assets less salvage value over the estimated useful life of the asset in a systematic and rational manner.

Only assets like building, plant, machinery, furniture etc. are subject to depreciation. It refers to the gradual diminution or loss in the utility value of an asset on account of wear and tear in use, efflux of time or obsolescence.





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